BOND INDENTURES AND COVENANTS

Learning Outcome

- describe the contents of a bond indenture and contrast affirmative and negative covenants

Bond Indentures

Fixed-income security features outlined in the prior lesson are included in a legal contract that describes the form of the bond, the obligations of the issuer, and the rights of the bondholders. This legal contract is referred to as the bond **indenture**. In addition to specifying a bond's features, an indenture identifies the issuer's sources of repayment, any commitments made by the issuer to bondholders, as well as any provisions that support or enhance the issuer's ability to repay its debt in full.

Sources of Repayment

The sources of bond repayment vary among issuers and are a key factor in determining a bond's relative risk. For example, national governments have the sovereign right to tax economic activity (and, in some cases, print currency), which results in their bonds often holding the highest credit quality in a given region. Sovereign bonds in developed markets are often considered to have no default risk and are used as the benchmark for relative bond market risk.

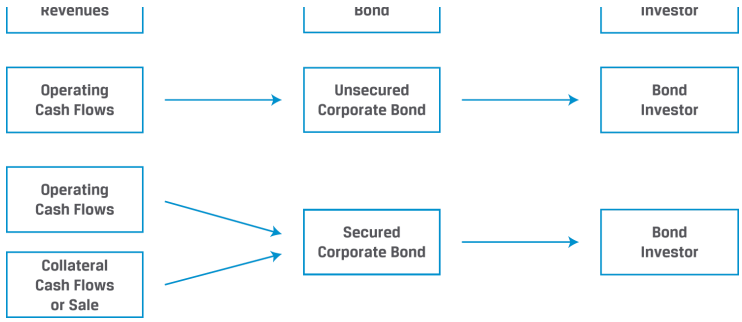
Local or regional governments may either use their taxing authority as the source of bond repayment or consider fees from infrastructure projects, such as bridges, toll roads or public transit systems, to repay interest and principal on an associated bond issue.

Investors in corporate bonds usually rely on the operating cash flows of the firm as their primary source for interest and principal payments. As shown in later lessons, investors use such factors as profitability and leverage to gauge the expected variability of corporate cash flows available to service debt. Corporate bonds for issuers of higher credit quality are usually **unsecured**, which means these cash flows are the *sole* source of repayment, as in the earlier BRWA Corporation example. Corporate issuers with less stable operating cash flows usually face more credit provisions and restrictions and may offer investors a legal claim (or **lien** or **pledge**) on specific assets as a secondary source of debt repayment in what are referred to as **secured** bonds. In liquidation, the secured debtholders may receive the value of the designated assets while unsecured debtholders would only receive any funds remaining after this allocation. A junior unsecured bondholder would be the last creditor in line to receive the asset value of an issuer in default, because all secured debts and senior unsecured debts would have higher-priority claims.

Investors evaluate operating cash flows as well as these secondary claims (referred to as **collateral**) when assessing an issuer's credit quality, which may include physical assets; cash flows, such as licensing fees; or financial guarantees from a third party. Issuers must weigh the benefit of providing these credit enhancements (lower borrowing costs) with the costs in terms of reduced operating flexibility.

Exhibit 6:

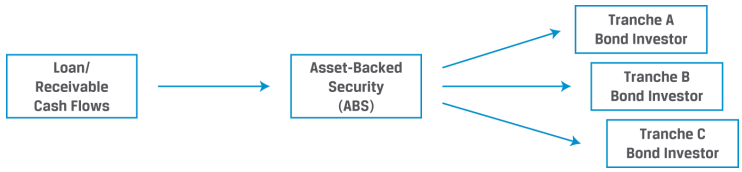
Sovereign Bond and Corporate Bond Sources of Repayment



As the name suggests, the source of repayment for asset-backed securities (ABS) are the cash flows from a group of loans or receivables owned by the special purpose issuer. A later module will show in detail how an ABS transaction recreates an entire capital structure of asset-based cash flow claims across investor classes with different priority claims to these cash flows. These different classes shown in Exhibit 7 are referred to as **tranches**.

Exhibit 7:

Asset-Backed Security Sources of Repayment



For example, Tranche A notes might have a priority claim to periodic cash flows followed by Tranche B. Tranche C investors would receive cash flows only after Tranche A and B investors.

Bond Covenants

Bondholders have limited influence over an issuer as compared to equity investors, who have voting rights. One exception to this is legally enforceable rules or bond **covenants** that borrowers and lenders agree on at the time a bond is issued or a loan is made. Affirmative covenants specify what issuers are required to do, whereas negative covenants specify what issuers are prohibited from doing.

Affirmative covenants are typically administrative in nature. For example, common affirmative covenants include the use of proceeds from the bond issue, the provision of timely financial reports, and permitting bondholders to redeem their bonds at a premium to par if the issuer is acquired.

Other affirmative covenant examples include a **pari passu clause** (or “equal footing” clause), which ensures that a debt obligation is treated the same as the borrower’s other debt obligations with similar seniority. A **cross-default clause** specifies that borrowers are considered in default if they default on another debt obligation. These covenants typically neither impose additional costs on an issuer nor materially constrain the issuer’s discretion in operating its business.

Exhibit 8 provides the covenants faced by BRWA Corporation for its senior unsecured bonds from the prior example.

Exhibit 8:

BRWA Bond: Brief Summary of Indenture Terms

Issuer:	Bright Wheels Automotive Corporation
Use of Proceeds:	We will use the net proceeds from the Notes for general corporate purposes
Seniority:	The Notes are unsecured and unsubordinated obligations of BRWA Corporation and will rank pari passu with all other unsecured and unsubordinated indebtedness.
Limitation on Liens:	The Indenture restricts our ability to pledge some of our assets as security for other debt.
Limitation on Sales and Leasebacks:	The Indenture prohibits us from selling and leasing back any plant for a term of more than [X] years
Merger and Consolidation:	The Indenture prohibits us from merging or consolidating with any company or selling all or substantially all of our assets to any company if after doing so the surviving company would violate the limitation on liens or sales and leasebacks discussed above.

As a senior unsecured issuer, BRWA's use of proceeds is broadly defined, and it faces few negative covenants limiting its business decisions. The limitations of liens and sale and leaseback, as well as merger and consolidation restrictions, all protect bondholders from the dilution of their claims as senior bondholders.

Issuers of lower credit quality often face additional covenants established to protect bondholders if an issuer's financial condition deteriorates. For example, consider the case of Vivivyu Inc., a digital media corporation that has issued senior secured callable bonds, as shown in Exhibit 9.

Exhibit 9:

Vivivyu Inc. Summary of Bond and Indenture Terms

6.5% Vivivyu Inc. (VIVU) Seven-Year Callable Notes (The "Notes") Prospectus Summary	
Issuer:	Vivivyu Incorporated
Settlement Date:	[T + 3 Business Days]
Maturity Date:	[Seven Years from Settlement Date]
Principal Amount:	USD400 million
Interest:	6.5% fixed coupon
Interest Payment:	Starting six months from [Settlement Date] to be paid semiannually with final payment on [Maturity Date]
Seniority:	The Notes are secured and unsubordinated obligations of VIVU and rank pari passu with all other secured and unsubordinated debt
Call Provision:	The Issuer may redeem some or all of the Notes on any Business Day before [Maturity] starting three years after [Settlement] based on the Call Price Schedule as a percentage of the Principal Amount plus accrued interest
Call Price Schedule:	103.25% [Three to Four Years after Settlement] 102.50% [Four to Five Years after Settlement] 101.75% [Five to Six Years after Settlement] 101.00% [Six to Seven Years after Settlement]

In the case of Vivivyu, bondholders are protected by a set of covenants which closely monitor certain financial ratios and restrict its ability to pay dividends to shareholders, repurchase shares, and / or take on additional debt unless tighter financial restrictions are met under what is referred to as an **incurrence test** (see Exhibit 10).

Exhibit 10: VIVU Bond: Brief Summary of Indenture Terms

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Prospectus Summary (continued)

Issuer:	Vivivyu Incorporated
Transaction Security:	The Notes are secured by a pledge of certain assets as identified in the Indenture.
Restriction on Additional Debt:	Unless the Incurrence Test is met, the Issuer shall not issue additional debt unless it is (a) subordinated or (b) a working capital facility up to 20% of the Principal Amount of Notes outstanding.
Restrictions on Dividends and Distributions:	The Issuer shall not (i) pay any dividend in respect of its shares, (ii) repurchase any of its own shares, or (iii) reduce share capital with repayment to shareholders unless the Incurrence Test is met.
Debt Restriction Test:	Issuer must maintain (a) Net Interest Bearing Debt to EBITDA not greater than 5.00× and (b) Interest Coverage Ratio greater than 2.50× for each financial reporting period.
Incurrence Test:	Test is met if issuer has (a) Net Interest Bearing Debt to EBITDA not greater than 4.50× and (b) Interest Coverage Ratio greater than 3.0× for each financial reporting period.

Other negative covenants include limitations on investments, the disposal of assets, or issuance of debt senior to existing obligations. A **negative pledge clause,** specifically, restricts the pledging of assets as collateral for new debt to ensure existing creditors are not subordinated. Negative covenants seek to ensure that an issuer maintains the ability to make interest and principal payments. Highly restrictive covenants may not be in the bondholders' best interest if they force an issuer to default when it may be avoided. For example, strict debt restrictions may prevent an issuer from raising new funds necessary to meet contractual obligations. Covenant violations can provide bondholders recourse in several possible ways, including a change in financial terms, such as an increase in a bond's interest rate, accelerated debt payments, or termination of the debt agreement.

Question Set

1. Explain the difference in the sources of repayment for a secured and an unsecured corporate bond.

Hide Solution

Solution:

The sole source of repayment for unsecured corporate bonds is typically operating cash flows of the issuer, while secured corporate bonds also include specific assets as a secondary source of debt repayment in addition to the issuer's operating cash flows.

2. Describe the source of repayment for asset-backed securities.

Hide Solution

Solution:

The source of repayment for asset-backed securities are cash flows from the group of loans or receivables owned by the special purpose issuer.

3. Match the bond covenant type in the left column with the examples in the right column.

A. Affirmative Covenant	I. Additional Debt Restriction
B. Negative Covenant	II. Cross-Default Clause
	III. Interest Coverage Minimum

Hide Solution

Solution:

affirmative covenant.

B. I and III are correct. An additional debt restriction clause limits an increase in issuer debt and is a negative covenant. An interest coverage minimum limits the amount of leverage relative to an issuer's operating income or EBITDA.

4. Describe the difference between affirmative and negative bond covenants.

Hide Solution

Solution:

Affirmative covenants specify what issuers are required to do, whereas negative covenants specify what issuers are prohibited from doing.

5. Fill in the blanks. Covenant violations provide bondholders recourse in several possible ways, including a change in _____ terms, such as an increase in a bond's interest rate or security, _____ debt payments, or _____ of the debt agreement.

Hide Solution

Solution:

Covenant violations provide bondholders recourse in several possible ways, including a change in *financial* terms, such as an increase in a bond's interest rate or security, *accelerated* debt payments, or *termination* of the debt agreement.

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

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